

STRICT STATUTE

1 Fines can be imposed for violations under Regulation 26 Sebi (Stock Brokers) Regulations, 1992

2 Registration certificates can be suspended under Regulation 27 of Sebi (Stock Brokers) Regulations

3 It can initiate prosecution under Section 24 of Sebi Act for offences like trading without registration

4 Sebi can penalise entities for failures such as non-compliance with reporting requirements, improper record-keeping

5 It can enforce disgorgement of unlawful gains, mandating corrective actions

registered or unregistered, if they are making claims on portfolio performance, their service performance, etc., unless it is specifically provided for them to be able to give that information... then again, they are breaking the law,” Buch said.

A Sebi-registered broker can buy and sell securities on behalf of clients. Other regulated entities offer securities-related services but may not directly execute trades on the exchange. But Buch made it clear that the rules do not apply to those who are solely engaged in creating educational content.

For entities regulated by Sebi, associating with such content creators could result in hefty fines and even the cancellation of licences. Prithviraj Senthil Nathan, Partner at King Stubb and Kasiva, Advocates and Attorneys, says, “Sebi can... impose

pants have welcomed these steps. Sanjay Saxena, Co-founder and CEO of India and Southeast Asia at fintech company CIFDAQ, says, “Measures like these ensure that investors are receiving guidance only from registered professionals, which will, in turn, foster transparency and trust in the financial markets. These new regulations will also discourage unauthorised financial promotion, support investor protection, and promote financial literacy.”

Yash Parashar, Managing Director of trading platform Finera Solutions, says, “This will especially impact finfluencers who are just starting the journey, showing double- or triple-digit returns to lure clients.” He says finfluencers putting up educational content could also get themselves registered

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FOR SEBI-REGULATED ENTITIES, ASSOCIATING WITH FINFLUENCERS COULD RESULT IN HEFTY FINES

fines for violations under Regulation 26 of the Sebi (Stock Brokers) Regulations, 1992, and Chapter VIA of the Sebi Act.” He says the regulator can also suspend or cancel registration certificates under Regulation 27 of the Sebi (Stock Brokers) Regulations and Chapter V of the Sebi Act.

Besides, it can initiate criminal prosecution under Section 24 of the Sebi Act for serious offences like trading without registration. “[Sebi can] penalise for failures such as non-compliance with reporting requirements, improper record-keeping, market manipulation. [And it can] enforce disgorgement of unlawful gains, mandating corrective actions, and ensuring compliance with Sebi’s circulars and guidelines,” Nathan adds.

Be that as it may, market partici-

to comply with the rules.

The rules will more clearly highlight the line between educational content and stock advice that has blurred in recent times, says Anand K. Rathi, Co-founder of investment platform MIRA Money. “Many influencers were not focussed on proper education; rather, they were promoting products without calculating their potential downsides, which affected the industry in a big way. While a few did a good job, I would estimate 95% of them were interested in selling products without understanding them.”

Sebi has also enlisted the help of online platforms in curbing illegal activity. This will also help Sebi-registered entities identify and avoid those violating securities laws.

Dhirendra Kumar, Founder and CEO of financial advisory firm